

“directing fee of \$150k—a 70% cut on the \$500k base pay—in exchange for certain film rights.”<sup>12</sup>

It’s hard to imagine today what the execs at 20th Century Fox were thinking when they gave up *Star Wars*’ merchandise and sequel rights for less than half a million dollars: The novice filmmaker outfoxed the executives at Fox. *Star Wars* grossed \$1 billion, and spawned a franchise with five films that are in the all-time top 100 in gross box office sales.<sup>13</sup> Walt Disney Co. purchased Lucasfilm, *Star Wars*’ production company, for more than \$4 billion. The merchandising for *Star Wars* has brought in more than \$32 billion for Disney.<sup>14</sup>

“Nobody knows anything” was Goldman’s way of referring to the fact that despite all of their expertise, experience, and focus groups, no one in the entertainment industry has any idea how well a film will do *in advance*. Figuring out what will sell in five years’ time is an impossible task, often driven by random luck.

Start with a screenplay, which may or may not translate well from the page into a visual medium. How compelling is the director’s vision? How likable are the characters? What special sauce will this or that actor’s portrayal add? Is there chemistry between the leads? And most random of all, what will the public’s tastes be in five-ish years, when this germ of an idea that gets greenlighted today is finally released as a finished film in theaters or streaming services?

It’s not only the films themselves, but where and how they get consumed that is subject to unforeseeable outcomes. Blockbuster turned down an offer to buy Netflix for \$50 million in 2000. At the time, the movie rental giant had 9,000 stores, and Netflix’s business was renting DVDs by mail. Less than a decade later, Blockbuster filed for bankruptcy (2010), and has one store left in Bend, Oregon. Netflix became the dominant video streamer, with 260 million paying customers, and since 2002 a stock that has risen over 50,000%. Netflix’s market cap is over \$395 billion.<sup>15</sup>